BUSINESS ENVIRONMENT AND BUSINESS ETHICS

Unit 2– Multiple Choice Question Bank (200 MCQs)

BBA | Moderate Difficulty | Answer Key at the End

Syllabus: Economic system; economic policies; role of LPG (liberalisation, privatisation, globalisation) and its impact on the Indian economy and social outcomes; regulations on environmental protection and unethical business practices; consumerism and its role in awakening consumer rights.

Instructions: Each question has four options (A–D) with only one correct answer. Choose the best option. Answers are given in the Answer Key on the last pages.

Name: _____ Roll No.: _____ Date: _____

Section A: Economic Systems (25 questions)

1. The system by which a society decides what, how and for whom to produce is called an

(A) Political system
(B) Legal system
(C) Economic system
(D) Social system

2. In a capitalist economy, the means of production are mainly owned by

(A) The government
(B) Workers' unions
(C) Foreign governments
(D) Private individuals and firms

3. The main motive of production in a capitalist economy is

(A) Social welfare
(B) Equal distribution
(C) Profit
(D) Employment generation

4. Resource allocation through the forces of demand and supply is a feature of the

(A) Socialist economy
(B) Command economy
(C) Subsistence economy
(D) Capitalist economy

5. The concept of the "invisible hand" is associated with

(A) Adam Smith
(B) Karl Marx
(C) J. M. Keynes
(D) Alfred Marshall

6. Laissez-faire means

(A) Minimum government interference in economic activity
(B) Complete state control
(C) Heavy taxation
(D) Nationalisation of industry

7. In a socialist economy, the main means of production are owned by

(A) Private entrepreneurs only
(B) Foreign firms
(C) The state or community

(D) Commercial banks

8. A central planning authority decides what to produce in a

(A) Free market economy
(B) Laissez-faire economy
(C) Command (centrally planned) economy
(D) Traditional economy

9. Socialist and communist thought is most closely associated with

(A) Adam Smith
(B) Karl Marx
(C) Milton Friedman
(D) Alfred Marshall

10. The main objective of a socialist economy is

(A) Maximum private profit
(B) Unlimited competition
(C) Social welfare and equitable distribution
(D) Consumer sovereignty

11. A mixed economy is one in which

(A) Public and private sectors exist together
(B) Only the private sector operates
(C) Only the public sector operates
(D) The government has no role

12. The economic system adopted by India after independence was a

(A) Mixed economy
(B) Pure capitalist economy
(C) Pure socialist economy
(D) Communist economy

13. Consumer sovereignty is a feature of the

(A) Socialist economy
(B) Capitalist economy
(C) Command economy
(D) Traditional economy

14. Public ownership of key resources and industries is a feature of

(A) Capitalism
(B) Laissez-faire
(C) Free market economy
(D) Socialism

15. Which of the following is a major demerit of capitalism?

(A) Absence of private property
(B) Growing inequality of income and wealth
(C) Complete state control
(D) Lack of consumer choice

16. Which of the following is a major demerit of socialism?

(A) Exploitation by private monopolists
(B) Rising income inequality
(C) Red tape and lack of incentive to work hard
(D) Excess consumer choice

17. The public sector in India consists of

(A) Privately owned companies

(B) Cooperative societies only
(C) Enterprises owned and run by the government
(D) Foreign multinational companies

18. A joint sector enterprise is one owned by

(A) Only the government
(B) Only foreign investors
(C) Only workers
(D) Government and private parties together

19. A cooperative society is best described as

(A) A government department
(B) A voluntary association of persons for mutual benefit
(C) A foreign company
(D) A one-person business

20. A key advantage of a mixed economy is that it

(A) Eliminates all private enterprise
(B) Combines private sector efficiency with public sector welfare goals
(C) Removes government planning
(D) Bans foreign trade

21. Agriculture, forestry and fishing belong to the

(A) Secondary sector
(B) Tertiary sector
(C) Primary sector
(D) Quaternary sector

22. Banking, insurance and transport belong to the

(A) Tertiary (services) sector
(B) Primary sector
(C) Secondary sector
(D) Agricultural sector

23. In a traditional economy, economic decisions are guided mainly by

(A) Customs and traditions
(B) Market prices
(C) Central planning
(D) Foreign trade

24. Which sector contributes the largest share to India's GDP?

(A) Agriculture sector
(B) Industry sector
(C) Services sector
(D) Mining sector

25. Which of the following is NOT a basic economic question every economy must answer?

(A) Who will govern the country
(B) What to produce
(C) How to produce
(D) For whom to produce

Section B: Economic Policies (25 questions)

26. The Industrial Policy Resolution of 1948 laid the foundation of India's

(A) Pure capitalism
(B) Free trade regime

(C) Communist system
(D) Mixed economy

27. Which policy is often described as the "Economic Constitution of India"?
(A) Industrial Policy, 1991
(B) Industrial Policy Resolution, 1948
(C) Industrial Licensing Policy, 1970
(D) Industrial Policy Resolution, 1956

28. Under the Industrial Policy Resolution 1956, Schedule A industries were
(A) Open only to the private sector
(B) Open only to foreign firms
(C) Exclusively reserved for the state
(D) Free from all regulation

29. Under the Industrial Policy Resolution 1956, Schedule C industries were
(A) Reserved for the state
(B) Banned
(C) Left to the private sector
(D) Reserved for foreign firms

30. The Industries (Development and Regulation) Act, 1951 provided for
(A) Control of foreign exchange
(B) Consumer protection
(C) Regulation of stock exchanges
(D) Industrial licensing and regulation

31. The MRTP Act, 1969 aimed to
(A) Promote exports
(B) Prevent concentration of economic power and monopolistic practices
(C) Regulate stock markets
(D) Protect the environment

32. The Foreign Exchange Regulation Act (FERA), 1973 was enacted to
(A) Freely promote foreign investment
(B) Regulate stock exchanges
(C) Control domestic inflation
(D) Regulate foreign exchange and the activities of foreign companies

33. India's first Five Year Plan began in
(A) 1951
(B) 1947
(C) 1956
(D) 1961

34. The First Five Year Plan placed major emphasis on
(A) Heavy industry
(B) Services
(C) Agriculture
(D) Exports

35. The Second Five Year Plan, based on the Mahalanobis model, emphasised
(A) Agriculture alone
(B) Services
(C) Heavy and basic industries
(D) Consumer goods exports

36. The Planning Commission of India was set up in

(A) 1950
(B) 1947
(C) 1956
(D) 1991

37. NITI Aayog stands for

(A) National Institution for Transforming India
(B) National Institute for Trade and Industry
(C) National Industrial Trade Investment Agency
(D) New India Trade Initiative

38. Which of the following is an instrument of fiscal policy?

(A) Repo rate
(B) Cash Reserve Ratio
(C) Taxation
(D) Open market operations

39. Which of the following is an instrument of monetary policy?

(A) Cash Reserve Ratio
(B) Income tax
(C) Excise duty
(D) Public borrowing

40. Fiscal deficit is the excess of government's total expenditure over its total receipts excluding

(A) Tax revenue
(B) Interest payments
(C) Grants
(D) Borrowings

41. Import substitution means

(A) Importing more goods
(B) Producing at home the goods that were earlier imported
(C) Banning exports
(D) Exporting raw materials

42. An export promotion strategy aims at

(A) Banning imports
(B) Raising export duties
(C) Giving incentives to increase exports
(D) Nationalising export firms

43. The term "License Raj" refers to

(A) Free trade after 1991
(B) Tax holidays for exporters
(C) Foreign investment rules
(D) Excessive licensing and controls in the pre-1991 economy

44. Partial liberalisation of the Indian economy began in the

(A) 1980s
(B) 1950s
(C) 1960s
(D) 2000s

45. India faced a severe balance of payments crisis in

(A) 1971
(B) 1991
(C) 2001

(D) 1981

46. In 1991, India's foreign exchange reserves were enough to pay for imports of only about

(A) Three weeks
(B) Three years
(C) Six months
(D) Ten years

47. To tide over the 1991 crisis, India approached the

(A) World Trade Organisation
(B) International Monetary Fund (IMF)
(C) UNESCO
(D) ASEAN

48. The New Economic Policy of 1991 was introduced under the Finance Minister

(A) Pranab Mukherjee
(B) P. Chidambaram
(C) Yashwant Sinha
(D) Dr Manmohan Singh

49. The Planning Commission was replaced by NITI Aayog in

(A) 2005
(B) 2010
(C) 2019
(D) 2015

50. Which of the following is a characteristic of pre-1991 industrial policy?

(A) Strict industrial licensing and heavy state control
(B) Free entry for all firms
(C) Zero import duties
(D) Full privatisation of public sector

Section C: LPG Reforms (Concept and Role) (30 questions)

51. In the Indian economic context, LPG stands for

(A) Liquefied Petroleum Gas
(B) Labour, Production and Growth
(C) Liberalisation, Privatisation and Globalisation
(D) Licensing, Planning and Governance

52. Liberalisation means

(A) Increasing licence requirements
(B) Removing unnecessary government controls and restrictions on business
(C) Raising import tariffs
(D) Nationalising banks

53. After liberalisation, industrial licensing was retained only for industries related to

(A) All consumer goods
(B) All textile units
(C) All services
(D) Security, safety and environmental concerns

54. Under liberalisation, the requirement of prior approval under the MRTP Act for expansion of large firms was

(A) Abolished
(B) Made stricter
(C) Extended to all firms

(D) Extended to farms

55. Trade liberalisation after 1991 led to import duties being

(A) Substantially reduced
(B) Substantially increased
(C) Left unchanged
(D) Imposed on exports

56. The Narasimham Committee of 1991 recommended reforms in the

(A) Agriculture sector
(B) Banking and financial sector
(C) Education sector
(D) Railway sector

57. The devaluation of the rupee in July 1991 was mainly meant to

(A) Increase imports
(B) Boost exports and ease the balance of payments problem
(C) Reduce foreign investment
(D) Control inflation

58. Privatisation means

(A) Transfer of ownership or management of public sector enterprises to the private sector
(B) Transfer of private firms to the government
(C) Opening of new government companies
(D) Closing all private firms

59. Disinvestment means

(A) Purchase of private shares by government
(B) Sale of the government's shareholding in public sector undertakings
(C) Closing of PSUs
(D) Increase in government stake

60. Greater autonomy was given to profitable PSUs through the grant of

(A) Nationalisation
(B) Licensing
(C) Navratna and Maharatna status
(D) Price control

61. Disinvestment of PSUs in India is handled by the

(A) Ministry of Labour
(B) Ministry of Railways
(C) NABARD
(D) Department of Investment and Public Asset Management (DIPAM)

62. A disinvestment in which a controlling stake and management are transferred to a private buyer is called a

(A) Rights issue
(B) Bonus issue
(C) Strategic sale
(D) Public deposit

63. Air India, a public sector airline, was handed over to the private ownership of the ___ in 2022.

(A) Reliance Group
(B) Adani Group
(C) Tata Group
(D) Mahindra Group

64. Globalisation refers to

(A) Nationalisation of industries
(B) Integration of the domestic economy with the world economy
(C) Closing borders to trade
(D) Increased government control

65. Contracting a business activity to an outside firm, often in another country, is called
(A) Disinvestment
(B) Nationalisation
(C) Dumping
(D) Outsourcing

66. India became a major destination for BPO mainly because of its
(A) High labour costs
(B) Strict import controls
(C) Skilled English-speaking workforce available at low cost
(D) Closed economy

67. Foreign Direct Investment (FDI) means
(A) Investment by a foreign entity in a business with lasting interest and control
(B) Short-term investment in shares only
(C) Aid given by a foreign government
(D) Borrowing from the IMF

68. Foreign Portfolio Investment (FPI) means
(A) Investment in financial assets such as shares and bonds without management control
(B) Setting up a factory abroad
(C) Acquiring management control of a firm
(D) Grants from foreign governments

69. The replacement of FERA by FEMA reflected a shift from
(A) Management to control of foreign exchange
(B) Control to management of foreign exchange
(C) Imports to exports
(D) Loans to grants

70. The World Trade Organisation (WTO) came into existence in
(A) 1947
(B) 1991
(C) 2001
(D) 1995

71. The WTO replaced the
(A) IMF
(B) World Bank
(C) GATT
(D) UNCTAD

72. Removal of quantitative restrictions (quotas) on imports was meant to
(A) Raise import tariffs
(B) Protect all industries
(C) Expose domestic firms to foreign competition
(D) Ban exports

73. Automatic approval for foreign direct investment up to 51% in many industries was introduced in
(A) 1971
(B) 1991
(C) 2001

(D) 1981

74. A multinational corporation is a company that

(A) Operates only in one state
(B) Is owned by the government
(C) Operates in several countries
(D) Does not trade

75. India moved to a market-determined exchange rate system in

(A) 1947
(B) 1993
(C) 1971
(D) 2005

76. SEBI was given statutory powers in

(A) 1988
(B) 1999
(C) 2005
(D) 1992

77. Tax reforms after 1991 aimed at

(A) Reducing tax rates and simplifying the tax structure
(B) Raising customs duty to 300%
(C) Abolishing all taxes
(D) Taxing only agriculture

78. Which of the following is a feature of globalisation?

(A) Free flow of goods, capital and technology across borders
(B) Closed borders
(C) Import bans
(D) Complete self-sufficiency

79. Which of the following is NOT part of the LPG reforms?

(A) Liberalisation
(B) Privatisation
(C) Globalisation
(D) Nationalisation of banks

80. After the 1991 reforms, the number of industries reserved exclusively for the public sector was

(A) Increased sharply
(B) Kept unchanged at 17
(C) Reduced sharply
(D) Raised to cover all industries

Section D: Impact of LPG on the Indian Economy and Society (25 questions)

81. The slow growth rate of about 3.5% in India before the 1980s is popularly called the

(A) Golden rate of growth
(B) Solow rate
(C) Planning rate
(D) Hindu rate of growth

82. Which sector has shown the fastest growth in the post-reform period?

(A) Services sector
(B) Agriculture sector
(C) Mining sector
(D) Handicrafts sector

83. After the reforms, India's foreign exchange reserves

(A) Fell to zero
(B) Remained unchanged
(C) Rose significantly
(D) Became negative

84. A positive impact of LPG on the Indian economy is

(A) Increased inflow of foreign investment
(B) Complete end of unemployment
(C) Zero imports
(D) Abolition of all taxes

85. A positive impact of LPG on Indian consumers is

(A) Fewer product choices
(B) Greater variety and better quality of goods
(C) Higher import duties
(D) Rationing of goods

86. Increased competition after 1991 forced Indian firms to

(A) Improve efficiency and quality
(B) Reduce production
(C) Stop advertising
(D) Close down

87. A negative social impact often attributed to LPG is

(A) Universal equality of income
(B) Fall in all prices
(C) Complete literacy
(D) Widening income inequality between rich and poor

88. A negative impact often noted for the agriculture sector after reforms is

(A) Rapid mechanisation of all farms
(B) Slow growth and farm distress
(C) Zero dependence on rain
(D) Large export subsidies

89. Small-scale and cottage industries were adversely affected after liberalisation due to

(A) Competition from cheaper imports and large firms
(B) Higher tariffs on imports
(C) Government monopoly
(D) Licensing

90. Economic growth that does not create proportionate employment is called

(A) Jobless growth
(B) Inclusive growth
(C) Sustainable growth
(D) Balanced growth

91. A visible labour market trend after reforms has been the rise of

(A) Lifetime government jobs
(B) Informal and contractual employment
(C) Compulsory pensions for all
(D) Closed shops

92. A commonly observed outcome of post-reform growth in India is

(A) Rising poverty and equality
(B) Fall in the poverty ratio alongside rising inequality

(C) No change in poverty or inequality
(D) Complete elimination of poverty

93. Post-reform investment has tended to concentrate in

(A) Only backward states
(B) Only rural areas
(C) Better-developed states, widening regional disparities
(D) No state in particular

94. Reforms accelerated social changes such as

(A) Return of people to villages
(B) Urbanisation and rural-urban migration
(C) Abolition of cities
(D) Closure of schools

95. Changes in consumption patterns and lifestyle after globalisation are often described as

(A) Return to barter
(B) Fall in all consumption
(C) Abolition of brands
(D) Rise of consumerism and Westernisation of tastes

96. Greater private participation in education and healthcare after reforms has raised concerns about

(A) Affordability for poorer sections
(B) Complete free access
(C) Absence of private schools
(D) Closure of hospitals

97. The growth of IT and BPO sectors after reforms has opened up

(A) Jobs only for farmers
(B) Jobs only in government
(C) Job opportunities for educated youth, including women
(D) No new jobs

98. Faster industrialisation after reforms has increased pressure on the

(A) Money supply only
(B) Language
(C) Calendar
(D) Environment through pollution and resource use

99. Migration of highly skilled professionals to other countries is known as

(A) Capital flight
(B) Outsourcing
(C) Brain drain
(D) Dumping

100. Selling goods in a foreign market at a price below cost or home price is called

(A) Outsourcing
(B) Disinvestment
(C) Franchising
(D) Dumping

101. After 1991, the share of agriculture in India's GDP

(A) Increased sharply
(B) Remained at 80%
(C) Became zero
(D) Declined steadily

102. After the reforms, India has come to be regarded as one of the world's

(A) Fastest-growing major economies
(B) Slowest-growing economies
(C) Closed economies
(D) Barter economies

103. After the reforms, the share of foreign trade in India's GDP

(A) Decreased
(B) Remained unchanged
(C) Became zero
(D) Increased

104. Job losses in some traditional sectors after liberalisation arose mainly due to

(A) Higher tariffs
(B) Competition from cheaper imports
(C) Import bans
(D) Industrial licensing

105. Which statement best summarises the impact of LPG on India?

(A) It accelerated growth but also raised concerns about inequality and employment quality
(B) It stopped all growth
(C) It ended poverty completely
(D) It had no effect on society

Section E: Regulations for Environmental Protection (30 questions)

106. The Environment (Protection) Act, 1986 was enacted mainly following the

(A) Bhopal gas tragedy
(B) Chipko movement
(C) Narmada protest
(D) Chernobyl accident

107. The Water (Prevention and Control of Pollution) Act was passed in

(A) 1981
(B) 1986
(C) 1972
(D) 1974

108. The Air (Prevention and Control of Pollution) Act was passed in

(A) 1974
(B) 1981
(C) 1986
(D) 1991

109. The Wildlife (Protection) Act was passed in

(A) 1972
(B) 1980
(C) 1986
(D) 2002

110. The Forest (Conservation) Act was passed in

(A) 1972
(B) 1986
(C) 1991
(D) 1980

111. The Biological Diversity Act was passed in

(A) 1986

(B) 2002
(C) 1974
(D) 2010

112. The National Green Tribunal was established in

(A) 2010
(B) 1986
(C) 2002
(D) 2015

113. The Central Pollution Control Board (CPCB) was originally constituted under the

(A) Wildlife Protection Act, 1972
(B) Forest Conservation Act, 1980
(C) Biological Diversity Act, 2002
(D) Water (Prevention and Control of Pollution) Act, 1974

114. Before setting up a polluting industry, a firm generally needs from the State Pollution Control Board a

(A) Trade licence only
(B) Export licence
(C) Consent to Establish
(D) Patent

115. Environmental Impact Assessment (EIA) is

(A) An audit of financial statements
(B) A tax assessment
(C) A study of the likely environmental effects of a project before approval
(D) A market survey

116. The "Polluter Pays" principle means that

(A) The one who causes pollution should bear the cost of the damage
(B) The government pays for all pollution
(C) Consumers pay for pollution
(D) Nobody pays

117. The precautionary principle states that

(A) Lack of full scientific certainty should not delay measures to prevent environmental harm
(B) Action must wait for full proof
(C) Pollution is acceptable if profitable
(D) Only the government can prevent harm

118. The ministry responsible for environmental policy in India is the

(A) Ministry of Labour
(B) Ministry of Commerce
(C) Ministry of Environment, Forest and Climate Change
(D) Ministry of Finance

119. An environmental audit is

(A) A systematic evaluation of how a firm's activities affect the environment
(B) A tax audit
(C) A cost audit
(D) A stock audit

120. ISO 14001 relates to

(A) Quality management systems
(B) Food safety
(C) Information security

(D) Environmental management systems

121. The "Ecomark" scheme in India is a label for

(A) Imported luxury goods
(B) Environment-friendly products
(C) Fast-moving goods
(D) Defence products

122. A tradable certificate representing the right to emit one tonne of carbon dioxide is called a

(A) Share certificate
(B) Debenture
(C) Treasury bill
(D) Carbon credit

123. The Kyoto Protocol deals with

(A) Trade tariffs
(B) Reduction of greenhouse gas emissions
(C) Nuclear weapons
(D) Child labour

124. The Paris Agreement (2015) aims to limit global temperature rise to well below

(A) 2 degrees Celsius above pre-industrial levels
(B) 5 degrees Celsius
(C) 10 degrees Celsius
(D) 0.1 degrees Celsius

125. The Montreal Protocol is aimed at phasing out

(A) Plastic bags
(B) Coal mining
(C) Ozone-depleting substances
(D) Nuclear power

126. The first major UN conference on the human environment was held at

(A) Rio in 1992
(B) Paris in 2015
(C) Stockholm in 1972
(D) Kyoto in 1997

127. The Earth Summit of 1992 was held at

(A) Stockholm
(B) Kyoto
(C) Paris
(D) Rio de Janeiro

128. Extended Producer Responsibility (EPR) makes producers responsible for

(A) Employee wages
(B) Tax payments
(C) Advertising costs
(D) Collection and safe disposal of their products' post-consumer waste

129. The E-Waste (Management) Rules deal with

(A) Disposal and recycling of discarded electronic goods
(B) Disposal of food waste
(C) Sewage treatment
(D) Mining waste only

130. The Public Liability Insurance Act, 1991 provides for

(A) Life insurance for employees

(B) Crop insurance
(C) Marine insurance
(D) Immediate relief to victims of accidents involving hazardous substances

131. Green marketing means

(A) Selling green vegetables
(B) Marketing in forests
(C) Advertising on green paper
(D) Promoting products on the basis of their environmental benefits

132. The National Green Tribunal handles

(A) Tax appeals
(B) Labour disputes
(C) Disputes and cases relating to environmental protection
(D) Banking disputes

133. The Chipko movement was associated with

(A) Water rights
(B) Wildlife poaching
(C) An industrial strike
(D) Protection of trees and forests

134. Environmentally responsible practices adopted by firms include

(A) Dumping waste in rivers
(B) Ignoring emission norms
(C) Using more single-use plastic
(D) Waste recycling and use of renewable energy

135. Sustainable development means

(A) Rapid industrial growth at any cost
(B) Only environmental protection
(C) Meeting present needs without compromising the needs of future generations
(D) Maximising short-term profit

Section F: Unethical Business Practices and Regulations (30 questions)

136. Mixing cheaper or harmful substances in food or goods is called

(A) Adulteration
(B) Branding
(C) Packaging
(D) Franchising

137. Hoarding and black marketing of essential goods is regulated in India by the

(A) Companies Act, 2013
(B) FEMA, 1999
(C) Factories Act, 1948
(D) Essential Commodities Act, 1955

138. Misleading advertisements in India are regulated mainly under the

(A) Consumer Protection Act, 2019
(B) Indian Contract Act
(C) Sale of Goods Act
(D) Factories Act

139. The Central Consumer Protection Authority (CCPA) deals with

(A) Stock market regulation
(B) Unfair trade practices and false or misleading advertisements

(C) Banking regulation
(D) Tax collection

140. An unfair trade practice includes

(A) Honest labelling
(B) Fair pricing
(C) False representation that goods are of a particular standard or quality
(D) Genuine warranty

141. A restrictive trade practice is one that

(A) Manipulates price or delivery conditions to impose unjustified costs on consumers
(B) Reduces prices for customers
(C) Gives free samples
(D) Offers genuine discounts

142. The Competition Act, 2002 prohibits

(A) Honest competition
(B) Anti-competitive agreements and abuse of dominant position
(C) Fair pricing
(D) Product innovation

143. A cartel is a group of firms that

(A) Compete freely
(B) Agree to fix prices or limit output
(C) Sell only to the government
(D) Merge into one firm

144. Selling below cost to eliminate competitors is called

(A) Predatory pricing
(B) Penetration pricing
(C) Fair pricing
(D) Value pricing

145. Firms secretly agreeing on the prices they will quote in a tender is called

(A) Auction
(B) Bid rigging
(C) Hedging
(D) Franchising

146. Bribery of public officials in India is dealt with under the

(A) Consumer Protection Act
(B) Factories Act
(C) Prevention of Corruption Act, 1988
(D) Sale of Goods Act

147. Converting illegally obtained money into apparently legitimate funds is called

(A) Disinvestment
(B) Factoring
(C) Hedging
(D) Money laundering

148. Money earned through illegal activities or on which tax has not been paid is commonly called

(A) White money
(B) Blue money
(C) Green money
(D) Black money

149. Property held in another person's name to conceal the real owner is addressed by the

(A) Factories Act
(B) Benami Transactions (Prohibition) Act
(C) Sale of Goods Act
(D) Payment of Wages Act

150. Trading on unpublished price-sensitive information in securities is regulated by

(A) RBI
(B) CPCB
(C) BIS
(D) SEBI

151. The SEBI regulations on fraudulent and unfair trade practices relate to

(A) Agricultural produce
(B) Food safety
(C) Labour welfare
(D) The securities market

152. A Ponzi scheme is a fraud in which

(A) Profits come from real trade
(B) The government guarantees returns
(C) Earlier investors are paid from money collected from later investors
(D) Investors get shares

153. The Banning of Unregulated Deposit Schemes Act was passed in

(A) 1999
(B) 1979
(C) 2019
(D) 2009

154. Illegal non-payment or under-payment of tax is called

(A) Tax avoidance
(B) Tax evasion
(C) Tax planning
(D) Tax saving

155. Selling fake goods under a well-known brand name violates the

(A) Factories Act
(B) Trade Marks Act, 1999
(C) Payment of Wages Act
(D) Sale of Goods Act

156. Employing children in hazardous work is prohibited under the

(A) Companies Act
(B) SEBI Act
(C) FEMA
(D) Child and Adolescent Labour (Prohibition and Regulation) Act

157. The Legal Metrology Act, 2009 regulates

(A) Stock exchanges
(B) Foreign exchange
(C) Environmental clearance
(D) Weights and measures used in trade

158. The Food Safety and Standards Act, 2006 is enforced through the

(A) SEBI
(B) FSSAI
(C) CPCB

(D) RBI

159. The Drugs and Cosmetics Act, 1940 regulates

(A) Import, manufacture and sale of drugs and cosmetics
(B) Stock trading
(C) Banking
(D) Mining

160. The ISI mark on products is issued by the

(A) FSSAI
(B) SEBI
(C) RBI
(D) Bureau of Indian Standards

161. Agmark certifies the quality of

(A) Gold jewellery
(B) Agricultural products
(C) Electronic goods
(D) Textiles

162. Selling a pre-packaged product above its Maximum Retail Price (MRP) is

(A) Always allowed
(B) An unfair trade practice and illegal
(C) A CSR activity
(D) A discount

163. Deceptive online interface designs that trick consumers into unintended choices are called

(A) Dark patterns
(B) Green patterns
(C) Smart patterns
(D) Open patterns

164. The Whistle Blowers Protection Act in India was passed in

(A) 1994
(B) 2014
(C) 2004
(D) 2019

165. Serious corporate frauds in India are investigated by the

(A) CPCB
(B) BIS
(C) Serious Fraud Investigation Office (SFIO)
(D) NITI Aayog

Section G: Consumerism and Consumer Rights (35 questions)

166. Consumerism is best described as

(A) A policy of maximising consumption
(B) A tax on consumers
(C) A social movement to protect and promote consumers' interests and rights
(D) A form of trade union

167. Under the Consumer Protection Act, a consumer is a person who

(A) Buys goods only for resale
(B) Buys goods for commercial purposes
(C) Sells goods
(D) Buys goods or avails services for consideration for personal use

168. National Consumer Day in India is observed on

(A) 15 March
(B) 24 December
(C) 1 May
(D) 26 January

169. World Consumer Rights Day is observed on

(A) 24 December
(B) 15 March
(C) 1 May
(D) 5 June

170. The right to safety protects consumers against

(A) Goods and services hazardous to life and property
(B) High prices
(C) Advertising
(D) Competition

171. The right to be informed means consumers have the right to know

(A) The seller's profit
(B) The quality, quantity, price and standard of goods
(C) The seller's tax details
(D) The factory's address only

172. The right to choose means

(A) Forced buying of one brand
(B) Only government products
(C) Access to a variety of goods and services at competitive prices
(D) No competition

173. The right to be heard means

(A) Consumers' interests receive due consideration at appropriate forums
(B) Consumers can set prices
(C) Sellers must obey consumers
(D) Consumers need not pay

174. The right to seek redressal means

(A) Right to reduce taxes
(B) Right to refuse payment
(C) Relief against unfair trade practices or unscrupulous exploitation
(D) Right to start a business

175. The right to consumer education means

(A) Right to free schooling only
(B) Right to free books
(C) Right to acquire the knowledge and skills to be an informed consumer
(D) Right to vote

176. The Consumer Protection Act, 2019 lists ___ consumer rights.

(A) Four
(B) Six
(C) Five
(D) Eight

177. In 1962 US President John F. Kennedy declared the original ___ basic consumer rights.

(A) Six
(B) Four

(C) Eight
(D) Ten

178. The three-tier redressal system under the Consumer Protection Act consists of

(A) Panchayat, Block and District
(B) Municipal, State and Central
(C) District, State and National Commissions
(D) High Court, Supreme Court and Parliament

179. Under the Consumer Protection Act, 2019 (2021 rules), a District Commission can hear complaints where the consideration paid does not exceed

(A) Rs 20 lakh
(B) Rs 50 lakh
(C) Rs 1 crore
(D) Rs 10 lakh

180. An appeal against an order of the District Commission lies with the

(A) Supreme Court directly
(B) High Court directly
(C) CCPA
(D) State Commission

181. An appeal against an order of the National Commission lies with the

(A) High Court
(B) State Commission
(C) District Commission
(D) Supreme Court

182. The Central Consumer Protection Authority (CCPA) was established under the

(A) Consumer Protection Act, 1986
(B) Consumer Protection Act, 2019
(C) Competition Act, 2002
(D) Companies Act, 2013

183. Product liability means the responsibility of a manufacturer or seller to

(A) Compensate for harm caused by a defective product
(B) Reduce prices
(C) Advertise honestly only
(D) Pay GST

184. Online shopping platforms in India are governed by the

(A) Factories Act
(B) Sale of Goods Act
(C) Consumer Protection (E-Commerce) Rules, 2020
(D) Payment of Wages Act

185. Consumers can file complaints online through the

(A) SEBI Scores
(B) GST portal
(C) CPCB portal
(D) e-Daakhil portal

186. The "Jago Grahak Jago" campaign is run by the

(A) Department of Consumer Affairs
(B) SEBI
(C) RBI
(D) NITI Aayog

187. Which of the following is a voluntary consumer organisation in India?

(A) Consumer Guidance Society of India
(B) Reserve Bank of India
(C) Competition Commission of India
(D) Central Pollution Control Board

188. "Caveat emptor" means

(A) Let the seller beware
(B) Free trade
(C) Fair price
(D) Let the buyer beware

189. The principle placing responsibility for product quality on the seller is

(A) Caveat emptor
(B) Laissez-faire
(C) Ad valorem
(D) Caveat venditor

190. Consumer sovereignty means

(A) Producers decide everything
(B) The government decides output
(C) Consumers' demand ultimately determines what is produced
(D) Prices never change

191. The consumer movement helps society by

(A) Increasing prices
(B) Banning advertising
(C) Making consumers aware of their rights and making firms more responsible
(D) Reducing competition

192. A written assurance by the seller to repair or replace a defective product within a period is a

(A) Discount
(B) Warranty
(C) Commission
(D) Subsidy

193. A contract heavily one-sided against the consumer, such as one with excessive penalties, is called an

(A) Fair contract
(B) Void agreement
(C) Unfair contract
(D) Wagering agreement

194. The Sale of Goods Act, 1930 regulates

(A) Stock exchange trading
(B) Contracts for the sale of goods, including implied conditions on quality
(C) Environmental clearance
(D) Foreign exchange

195. A hallmark on jewellery certifies the purity of

(A) Rice
(B) Gold
(C) Medicines
(D) Cement

196. Under the Consumer Protection Act, 2019, the CCPA can penalise a manufacturer or endorser for a false or misleading advertisement up to Rs 10 lakh for the

(A) First offence
(B) Only the third offence
(C) Never
(D) Foreign products only

197. A consumer complaint must normally be filed within ___ from the date the cause of action arose.

(A) Six months
(B) Two years
(C) Five years
(D) Ten years

198. Which of the following is a responsibility of a consumer?

(A) Hiding bills
(B) Checking quality marks, bills and warranty before buying
(C) Ignoring labels
(D) Silently accepting defective goods

199. A consumer complaint can be filed in case of

(A) A rise in market prices
(B) A change in government policy
(C) Defective goods, deficient services or unfair trade practices
(D) Advertising by the government

200. Which of the following is an example of consumer exploitation?

(A) Selling underweight packaged goods
(B) Providing genuine bills
(C) Honest labelling
(D) Fair pricing

ANSWER KEY

Business Environment and Business Ethics – Unit 1 (Questions 1–200)

Section A: Economic Systems (Q1–Q25)									
1. **C**	2. **D**	3. **C**	4. **D**	5. **A**	6. **A**	7. **C**	8. **C**	9. **B**	10. **C**
11. **A**	12. **A**	13. **B**	14. **D**	15. **B**	16. **C**	17. **C**	18. **D**	19. **B**	20. **B**
21. **C**	22. **A**	23. **A**	24. **C**	25. **A**					
Section B: Economic Policies (Q26–Q50)									
26. **D**	27. **D**	28. **C**	29. **C**	30. **D**	31. **B**	32. **D**	33. **A**	34. **C**	35. **C**
36. **A**	37. **A**	38. **C**	39. **A**	40. **D**	41. **B**	42. **C**	43. **D**	44. **A**	45. **B**
46. **A**	47. **B**	48. **D**	49. **D**	50. **A**					
Section C: LPG Reforms (Concept and Role) (Q51–Q80)									
51. **C**	52. **B**	53. **D**	54. **A**	55. **A**	56. **B**	57. **B**	58. **A**	59. **B**	60. **C**
61. **D**	62. **C**	63. **C**	64. **B**	65. **D**	66. **C**	67. **A**	68. **A**	69. **B**	70. **D**
71. **C**	72. **C**	73. **B**	74. **C**	75. **B**	76. **D**	77. **A**	78. **A**	79. **D**	80. **C**
Section D: Impact of LPG on the Indian Economy and Society (Q81–Q105)									
81. **D**	82. **A**	83. **C**	84. **A**	85. **B**	86. **A**	87. **D**	88. **B**	89. **A**	90. **A**
91. **B**	92. **B**	93. **C**	94. **B**	95. **D**	96. **A**	97. **C**	98. **D**	99. **C**	100. **D**
101. **D**	102. **A**	103. **D**	104. **B**	105. **A**					
Section E: Regulations for Environmental Protection (Q106–Q135)									
106. **A**	107. **D**	108. **B**	109. **A**	110. **D**	111. **B**	112. **A**	113. **D**	114. **C**	115. **C**
116. **A**	117. **A**	118. **C**	119. **A**	120. **D**	121. **B**	122. **D**	123. **B**	124. **A**	125. **C**
126. **C**	127. **D**	128. **D**	129. **A**	130. **D**	131. **D**	132. **C**	133. **D**	134. **D**	135. **C**
Section F: Unethical Business Practices and Regulations (Q136–Q165)									
136. **A**	137. **D**	138. **A**	139. **B**	140. **C**	141. **A**	142. **B**	143. **B**	144. **A**	145. **B**
146. **C**	147. **D**	148. **D**	149. **B**	150. **D**	151. **D**	152. **C**	153. **C**	154. **B**	155. **B**
156. **D**	157. **D**	158. **B**	159. **A**	160. **D**	161. **B**	162. **B**	163. **A**	164. **B**	165. **C**
Section G: Consumerism and Consumer Rights (Q166–Q200)									
166. **C**	167. **D**	168. **B**	169. **B**	170. **A**	171. **B**	172. **C**	173. **A**	174. **C**	175. **C**
176. **B**	177. **B**	178. **C**	179. **B**	180. **D**	181. **D**	182. **B**	183. **A**	184. **C**	185. **D**
186. **A**	187. **A**	188. **D**	189. **D**	190. **C**	191. **C**	192. **B**	193. **C**	194. **B**	195. **B**
196. **A**	197. **B**	198. **B**	199. **C**	200. **A**					